

Consolidated Reporting Group

Foreign Currency Translation Policy Memo – Current Fiscal Year

1. General Policy

Under ASC 830, each foreign subsidiary's financial statements are translated into USD for consolidation using the current rate method: assets and liabilities at the period-end spot rate, income statement items at the average rate for the period, with the resulting translation adjustment recorded in accumulated other comprehensive income (OCI). This is the default method applied to all subsidiaries in the reporting group unless Section 2 below applies.

2. Highly Inflationary Economies

If a subsidiary's cumulative inflation over the three years preceding the current reporting date exceeds approximately 100%, the subsidiary's economy is deemed highly inflationary and its functional currency is deemed to be the US dollar (the reporting currency) instead of its local currency. For any subsidiary meeting this condition in the current fiscal year, the remeasurement method applies for that year instead of the current rate method: monetary items are remeasured at the current rate, nonmonetary items are remeasured at historical rates, and any resulting remeasurement gain or loss is recognized directly in net income for the period, not in OCI.

This determination is made independently for each subsidiary, every period, based on that subsidiary's own trailing three-year cumulative inflation. A subsidiary's translation method is not a fixed, one-time election; it must be reassessed each period against the threshold in this section.

3. Data Provided

Subsidiary-level financial data, including each subsidiary's translated net income before any remeasurement effect and, where applicable, the remeasurement loss on the subsidiary's net monetary position (as computed by local finance under the monetary/nonmonetary bifurcation required by remeasurement accounting), are provided separately in the subsidiary financial data extract.